of pegging the price rather than funding government spending or other economic goals. A noteworthy early example of an algorithmic stablecoin is Basis,[11] which had to close due to regulatory hurdles. Current examples of algorithmic stablecoins include Ampleforth (AMPL)[12] and Empty Set Dollar (ESD).[13] The drawback to non-collateralized stablecoins is that they have a lack of inherent underlying value backing the exchange of their token. In contractions, this can lead to "bank runs," in which many holders are left with large sums of the token that are no longer worth the peg price.

There is still much work to be done – and regulatory hurdles to overcome – in creating a decentralized stablecoin that both scales efficiently and is resistant to collapse in contractions.[14] Stablecoins are an important component of DeFi infrastructure because they allow users to benefit from the functionality of the applications without risking unnecessary price volatility.

DECENTRALIZED APPLICATIONS

As mentioned earlier, dApps are a critical DeFi ingredient. dApps are like traditional software applications except they live on a decentralized smart contract platform. The primary benefit of these applications is their *permissionlessness* and *censorship resistance*. Anyone can use them, and no single body controls them. A separate but related concept is a *decentralized autonomous organization* (*DAO)*, which has its rules of operation encoded in smart contracts that determine